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A spare-parts store uses a reorder-point logic together with target inventory correction law.

a) Given

$$\bar{d} = 18 \frac{\text{units}}{\text{day}}, \quad L = 4 \text{ days},$$

$$SS = 12 \text{ units},$$

compute the reorder point

$$R = \bar{d}L + SS$$

$\bar{d}$: Mean daily demand

L : lead time

SS : Safety stock

$\Rightarrow$ Calculation

$$R = 18 \frac{\text{units}}{\text{day}} \cdot 4 \text{ days} + 12 \text{ units}$$

$$R = 18 \cdot 4 + 12 \text{ units} = 84 \text{ units}$$

$\Rightarrow$ When the inventory drops to 84 units, we need to re-order the parts!

b) Let the replenishment rule be:

$$q(t) = 0.5[I^*(t) - I(t)]$$

and the inventory balance:

$$\dot{I}(t) = q(t) - d(t)$$

$\Rightarrow$ derive the diff eq. for $I(t)$!

⇒ We just substitute $q(t) = 0.5 [I^*(t) - I(t)]$ into the inventory balance equation:

$$\dot{I}(t) = 0.5 [I^*(t) - I(t)] - d(t)$$

$$\dot{I}(t) = 0.5 I^*(t) - 0.5 I(t) - d(t)$$

$$\dot{I}(t) + 0.5 I(t) = 0.5 I^*(t) - d(t)$$

⇒ We see that this is a 1st-order system, and we can express it differently to see the time constant τ .

$$2 \dot{I}(t) + I(t) = I^*(t) - 2d(t)$$

$$\tau = 2 \text{ days}$$

c) For the case $d(t) = 0$, determine the transfer function (TF).

$$\frac{I(s)}{I^*(s)}$$

⇒ We follow the steps:

- 1) Set initial conditions to zero ✓
- 2) Swap derivatives for s (take it out of time domain)

$$\Rightarrow 2sI(s) + I(s) = I^*(s) \quad \checkmark$$

3) Rearrange:

$$(2s + 1) I(s) = I^*(s)$$

$$\frac{I(s)}{I^*(s)} = \frac{1}{2s + 1} \quad \checkmark$$

Analysis of system:

- It has a static gain of 1 $\Rightarrow$ set $s=0$ ✓
- It has a τ of 2 days ✓
- It has a pole $p = -\frac{1}{2} \Rightarrow$ stable ✓

16 A base-stock inventory model under demand disturbance is

$$\dot{I}(t) + 2I(t) = -d(t), \quad I(0) = 0$$

a) Determine the transfer function

$$G(s) = \frac{I(s)}{D(s)}$$

$\Rightarrow$ Let's re-express the 1st-order diff eq:

$$\frac{1}{2} \dot{I}(t) + I(t) = -\frac{1}{2} d(t)$$

$\Rightarrow$ Steps 1 - 3

- 1) Set initial conditions to zero
- 2) Swap derivatives for s

$$\frac{1}{2} s I(s) + I(s) = -\frac{1}{2} D(s)$$

- 3) Rearrange

$$\left[\frac{1}{2} s + 1 \right] I(s) = -\frac{1}{2} D(s)$$

$$\Rightarrow G(s) = \frac{I(s)}{D(s)} = \frac{-0.5}{0.5s + 1} \quad \checkmark$$

$$\tau = 0.5$$

b) For the demand step

$$d(t) = 6 u(t),$$

compute the inventory response $I(t)$.

⇒ First convert the step function to Laplace:

$$D(s) = \frac{6}{s}$$

⇒ Set up the resulting system:

$$I(s) = G(s) D(s) = \left(\frac{-0.5}{0.5s + 1} \right) \frac{6}{s}$$

$$= \frac{-3}{s(0.5s + 1)} = \frac{-6}{s(s + 2)} \quad \leftarrow$$

get the
denom.
like $s(s+a)$

⇒ Apply the inverse Laplace transform

$$\mathcal{L}^{-1} \left\{ \frac{1}{s(s+a)} \right\} = \frac{1}{a} (1 - e^{-at}) u(t)$$

$$\Rightarrow \mathcal{L}^{-1} \left\{ \frac{-6}{s(s+2)} \right\} = -\frac{6}{2} (1 - e^{-2t}) u(t)$$

$$\boxed{I(t) = -3(1 - e^{-2t}) u(t)} \quad \checkmark$$

c) Determine the long-term y_{∞} inventory deviation and explain its logistics meaning.

⇒ Let's take the limit as $t \rightarrow \infty$

$$\begin{aligned} & \lim_{t \rightarrow \infty} -3(1 - e^{-2t}) u(t) \\ &= -3(1 - 0) \cdot 1 = \boxed{-3} \quad \checkmark \end{aligned}$$

⇒ The long-term value for inventory deviation if we see an instantaneous jump in demand of 6 units/day, our inventory will settle to

initial value - 3

19) A CONWIP-controlled production line uses

$$r(t) = c(t) + 0.25[W^*(t) - W(t)],$$

$$\dot{W}(t) = r(t) - c(t)$$

a) Derive the closed WIP equation

$$\dot{W}(t) + 0.25 W(t) = 0.25 W^*(t)$$

⇒ We substitute in the release rule $r(t)$

$$\Rightarrow \dot{W}(t) = [c(t) + 0.25(W^*(t) - W(t))] - c(t)$$

$$\dot{W}(t) + 0.25 W(t) = 0.25 W^*(t) \quad \checkmark$$

b) Determine the TF

$$G(s) = \frac{W(s)}{W^*(s)}$$

⇒ Steps:

1) IC to zero ✓

2) Swap derivatives

$$s W(s) + 0.25 W(s) = 0.25 W^*(s)$$

3) Rearrange

$$\frac{W(s)}{W^*(s)} = \frac{0.25}{s + 0.25}$$

⇒ Time constant form:

$$\frac{1}{4s + 1}$$

$$\tau = 4 \quad p_1 = -0.25$$

c) For the target step

$$W^*(t) = 120 u(t), \quad W(0) = 0$$

compute the WIP response!

$$\Rightarrow W(s) = G(s) W^*(s)$$

$$W(s) = \left(\frac{0.25}{s + 0.25} \right) \frac{120}{s}$$

$$W(s) = \frac{30}{s(s + 0.25)} \quad \checkmark$$

$\Rightarrow$ We apply the inverse Laplace transform:

$$\mathcal{L}^{-1} \left\{ \frac{1}{s(s+a)} \right\} = \frac{1}{a} (1 - e^{-at}) u(t)$$

$$\Rightarrow \mathcal{L}^{-1} \left\{ \frac{30}{s(s + 0.25)} \right\} = \frac{30}{0.25} (1 - e^{-0.25t}) u(t)$$

$$W(t) = 120 (1 - e^{-t/4}) u(t) \quad \checkmark$$

d) If the steady-state throughput at the target WIP is

$$TH = 30 \frac{\text{jobs}}{\text{day}}$$

use Little's law to determine the corresponding cycle time CT,

$$WIP \approx TH \times CT$$

$$CT \approx \frac{WIP}{TH} \approx \frac{120 \frac{\text{jobs}}{\text{day}}}{30 \frac{\text{jobs}}{\text{day}}}$$

$$CT \approx \frac{120}{30} \text{ days} = 4 \text{ days} \quad \checkmark$$